

NextEra Energy, Inc.

NEE NYSE

Buy	\$85.12 ▲ 0.34%	12M Price Target \$98.00	52-Week Range \$67.20 – \$98.75	Market Cap \$177.53B
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NEE: Dominion Merger Reshapes Utility Scale; Reiterate Buy

WHAT'S CHANGED

- WSJ (06/10) and Simply Wall St (06/09) frame the NextEra–Dominion merger as transformational — creating the largest US regulated/clean-energy platform; WSJ explicitly flags entry timing as favorable.
- Stock holding \$85 with 5-day range \$84–\$86 on declining volume (7.7M vs 12.2M prior session), suggesting absorption post-merger headlines; options flow skew bullish (P/C 0.24, unusual \$72.50 and \$78 calls).

IMPLICATIONS

The Dominion merger narrative materially expands NEE's regulated rate base footprint into the Mid-Atlantic data-center demand corridor, reinforcing the structural AI-power thesis that has driven utility re-rating. With Utilities sector flat (+0.05% 1D) but NEE bid near 52-week range midpoint (57%), the stock is absorbing deal complexity rather than selling off — a constructive tape signal. Bullish options positioning and 86.9% institutional ownership suggest smart money is accumulating ahead of regulatory milestones and FY2026 capex guidance updates.

VALUATION

At \$85.12, NEE trades ~23x FY26E EPS and ~14.8x EV/EBITDA — a premium to regulated utility peers (~18-19x P/E) justified by FPL's superior rate-base growth (~9% CAGR) and NEER's renewables backlog. Our \$98 PT implies ~15% upside on 26x FY27E EPS, reflecting deal synergies and rate-base accretion from Dominion. Multiple expansion driver: data-center PPA wins; contraction risk: rising long rates compressing utility duration premium.

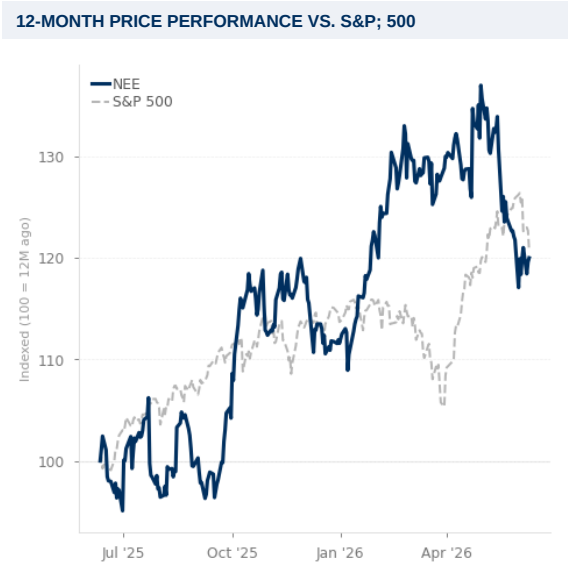
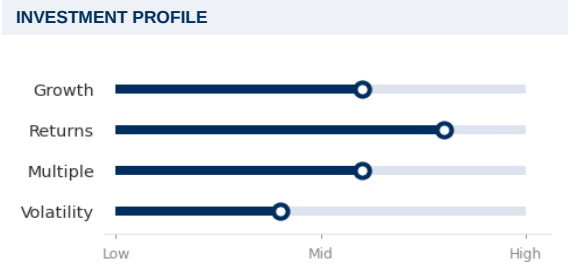
KEY RISKS

- Dominion merger regulatory risk — state PUC approvals (VA, NC) and FERC review could extend timeline or impose concessions.
- Interest rate sensitivity — long-duration cash flows pressured if 10Y yields re-accelerate above 4.75%.
- Renewables policy/IRA tax credit modifications under current Congress could compress NEER project economics.

RECENT NEWS

- NextEra Energy, Inc. (NEE) Is a Trending Stock: Facts to Know Before Betting on It**
Zacks · 2026-06-10 13:00
- Now Is a Good Time to Buy Into America's Mega Utility Merger** The Wall Street Journal · 2026-06-10 09:30
- Is Constellation Energy An Undervalued Stock Or A Value Trap?** Trefis · 2026-06-10 00:03

Key Data	
Price (USD)	\$85.12
12M Price Target	\$98.00
Upside / (Downside)	+15.1%
Market Cap	\$177.53B
FY2026E Revenue	\$28,500M
FY2027E Revenue	\$31,200M
FY2026E EPS	\$3.65
FY2027E EPS	\$4.00
Fwd P/E	23.3x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$90.00	\$86.00	\$80.00
6 Months	\$98.00	\$90.00	\$78.00
1 Year	\$110.00	\$98.00	\$75.00
2 Years	\$130.00	\$112.00	\$72.00
5 Years	\$175.00	\$145.00	\$85.00
10 Years	\$260.00	\$195.00	\$95.00

SECTOR INTELLIGENCE

HOT SECTORS: Consumer Staples (+4.05% 5D), Real Estate (+3.40% 5D)

COLD SECTORS: Comm. Services (-0.95% 5D), Energy (-0.78% 5D)

ROTATION WATCH: Defensive rotation into Staples/REITs/Utilities reflects late-cycle positioning and rate-cut anticipation — favorable backdrop for NEE's bond-proxy characteristics combined with growth optionality.

BYPRODUCT PLAY: AI-driven power demand creates secondary winners in transmission (PWR, MYRG), grid-scale storage, and gas peakers — NEE's diversified generation mix captures both renewables and reliability premium.

OUTPERFORMERS & PEER CONTEXT

- CEG (Constellation Energy): nuclear baseload tied directly to hyperscaler PPAs; Trefis valuation debate signals continued institutional interest.
- D (Dominion Energy): merger arb premium plus standalone Virginia data-center exposure.

NEE CONTEXT: NEE at 57% of 52W range is consolidating rather than breaking out — lagging pure-play AI-power names (CEG, VST) on momentum but offering superior risk-adjusted exposure via regulated cash flows. Relative underperformance is an entry opportunity, not a thesis break.

INVESTMENT STRATEGY

8/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$83-85 on consolidation; add \$80 on dips

Time Horizon: 12-24 months

Thesis Invalidation: Dominion deal regulatory rejection, FERC pushback, or >50bps rate-base ROE compression

Hedging: Pair long NEE vs short XLU or long puts \$80 strike